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Voluntary _ Public

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Malaysia

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B5 Distribution Still Incomplete

Report Categories:

Biofuels

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Report Highlights:

Officials recently announced that due to delays in completing blending facilities, B5 biodiesel will not be available in East Malaysia until at least December 2014. Final country-wide implementation of B5 had already been delayed several times. As a result, B5 offtake will remain at around 20,000 tons per month for the rest of the year, far short of the 40,000 tons per month originally anticipated.

General Information:

The Ministry of Plantation Industries and Commodities (MPIC) announced that full implementation of the B5 biodiesel (a 5% palm methyl ester and 95% petroleum blend) will be delayed to December 2014.

Blending facilities and infrastructure in East Malaysia are still lagging and incomplete. B5 in Peninsular Malaysia has been available since March 2014, reaching some 2,400 petrol stations.

Monthly B5 consumption is averaging about 20,000 tons. Industry leaders and MPIC once hoped offtake would reach 40,000 tons per month this year, but that target will not be reached until East Malaysia's production and distribution comes on-line.

B5 Use Estimates

	B5 (in tons)
Subsidized transport sector for whole Malaysia	320,000
Non subsidized commercial sector – Manufacturing & Logistics	180,000
Potential consumption throughout Malaysia	500,000
Current consumption in Peninsular Malaysia where B5 is currently available. *	225,000
Expected additional consumption when B5 is fully implemented in 2014	25,000
Total projected consumption of B5 in 2014	250,000
Projected CPO production in 2014 by MPOB	19,500,000
Actual current % of biodiesel used in 2014	1.3%
Potential possible % of biodiesel used throughout Malaysia in 2014	2.6%

*Southern and central regions implement the B5 mandate on July 2013 with monthly consumption averaging at 12,500 tons. Northern and eastern regions implement the B5 mandate on March 2014.